CENTRUM

S H Kelkar and Company Ltd

Growth and margins scaling back with recovery in Europe

SH Kelkar (SHK) is the largest flavors and fragrances (F&F) player in India with a legacy of more than a century. Post-Covid, its business in FY22/FY23 was impacted due to gross margin contraction despite top-line growth. SHK's financial performance scaled back in FY24 with 14.4% YoY jump in revenues and gross margin expansion leading to EBITDA margin expansion by 300bps YoY at 15.9%. Performance was primarily supported by sizable expansion (normalisation) in Fragrance segment (accounted for ~87% of total revenues) EBITDA margins to 18.0% in FY24 vs 14.7% in FY23 while that of Flavors segment improved marginally by 50bps YoY at 11.6%. Europe remained the key driving force with the region's revenues growing 14.3% YoY. Even in Q1FY25, despite setback in May 2024 from a fire accident, the company was able to report healthy financial performance with 11.3%/15.2%YoY revenue/EBITDA growth aided from gross margin expansion. SHK is currently trading at 29.1x FY24 EPS of Rs8.8 and EV/EBITDA of 13.5x.

Growth back on track in FY24 with scaling back of EBITDA margins to ~16%

Post subdued FY22/FY23 financial performance, SHK reported 14.4% YoY topline growth in FY24, supported from company's inroads into global FMCG and growth in European region (impacted by slowdown and a large consumer of fine fragrances). Additionally, during FY24, normalisaiton in gross margins led to EBITDA margins normalisation at 15.9%. Despite a fire incident in May 2024, SHK reported good Q1FY25 performance with 11.3% YoY growth in top-line at Rs4.7bn coupled and 50bps EBITDA margin expansion at 16.6% with EBITDA surging 15.2% YoY at Rs783mn.

Givaudan, the largest F&F player reported strong 1H2024, bodes well for SH Kelkar

Givaudan reported ~13% YoY revenue growth in 1H2024 led by volume growth across all markets and segments. Its EBITDA margins too improved ~200bps YoY at 24.8% led by improvement in gross margins. The company reported sales growth across all the regions with strong growth in LATAM and Middle-East/Africa/South Asia along with growth in Europe. Volume led growth by Givaudan suggests normalisation in industry dynamics which bodes well for SH Kelkar.

12% revenue growth guidance for FY25E with margin improvement

Historically SHK has guided for 12-14% topline growth in normal business environment and guided 12% revenue growth for FY25E. Earlier, margins used to hover at ~16-17% while management has guided for some improvement in margins to ~17-18%.

Valuation and outlook – Strong Q1FY25 despite setback from fire incident

Management has guided for sustainable growth rate of 12-13% over the next 4-5 years. Current growth capex for capacity enhancement is estimated at Rs800mn which would largely be funded through internal accruals and release of WC. At CMP, the stock is trading at 29.1x FY24 EPS of Rs8.8 and EV/EBITDA of 13.5x.

Risks – High debt, large acquisitions requiring debt funding

Financial and valuation summary

YE Mar (Rs mn)	FY20A	FY21A	FY22A	FY23A	FY24A
Revenues	11,051	12,600	15,596	16,769	19,217
EBITDA	1,582	2,359	2,146	2,173	3,068
EBITDA margin (%)	14.2	17.8	13.7	12.9	15.9
Adj. Net profit	722	1,322	1,605	814	1,224
Adj. EPS (Rs)	5.1	9.4	11.6	5.9	8.8
EPS growth (%)	(16.6)	83.2	24.0	(49.3)	50.3
PE (x)	50.4	27.5	22.2	43.8	29.1
EV/EBITDA (x)	24.3	16.7	19.3	18.9	13.5
PBV (x)	4.4	3.8	3.5	3.3	2.9
RoE (%)	8.6	14.9	16.3	7.8	10.8
RoCE (%)	7.6	10.8	8.7	5.7	8.4

Source: Bloomberg, Centrum Broking

Company Update

India I Chemicals

11 September, 2024

Institutional Research

Not Rated

Price: Rs257

Market Data

Bloomberg:	SHKL IN
52 week H/L:	264/1290
Market cap:	Rs35.6bn
Shares Outstanding:	138.4mn
Free float:	27.8%
Avg. daily vol. 3mth:	764251

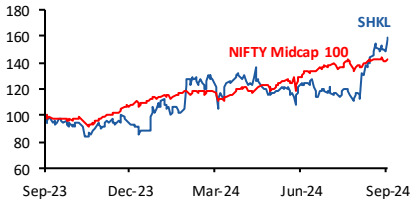
Source: Bloomberg

Changes in the report

Rating:	Not rated
Target price:	Not rated
EPS:	FY24 – Rs8.8

Source: Centrum Broking

SHKL relative to Nifty Midcap 100



Source: Bloomberg

Shareholding pattern

	Jun-24	Mar-24	Dec-23	Sep-23
Promoter	58.8	59.0	59.0	59.0
FIIs	8.7	8.9	8.2	8.3
DIIs	0.3	0.3	1.3	1.4
Public/other	32.2	31.8	31.5	31.3

Source: BSE

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Q1FY25 Concall highlights

YoY performance improves with EBITDA margin expansion

Business performance

- Two years ago, the company faced challenges correcting for inflation, leading to cost uncertainties
- Strong demand outlook for Q2FY25, with momentum in existing and new accounts
- Robust demand and growth are observed across ingredient, flavor, and fragrance segments
- No demand issues are anticipated for the next four to five years
- Long-term client relationships, some spanning 60-90 years, indicate consistent demand
- Focus on backward integration and cost-saving has turned around the Global Ingredients segment
- Higher inventory levels are maintained to manage RM price fluctuations and shortages
- Contracts and inventory are expected to counter supply chain volatility
- Additional RM costs may be passed to customers if needed
- A new hub will enhance product development capabilities for customers in the Middle East and Europe
- Global talent and a world-class fragrance facility are being developed to drive long-term growth
- The company uses in-house process knowledge and vendor surplus capacity instead of new investments
- New launches and segments are compensating for lower growth in traditional areas
- A pipeline of patented ingredients is expected to boost future revenue
- R&D products and investments are driving faster growth and new wins
- R&D team is capable of adapting to new product requirements

M&A

- The company has entered a share purchase agreement to divest its majority stake in NuTaste Foods and Drink Labs but will retain 40% stake as a strategic partner
- NuTaste Foods and Drink Labs had Rs220mn in revenues when acquired two-three years ago
- Strategic investor will drive future growth for NuTaste Foods and Drink Labs
- The company expects to expand its market share in global and European markets due to its small current share
- The company aims to recover its historical 80% market share in a specific segment lost to Chinese competition
- There are significant market share gain opportunities, with a total addressable market exceeding USD10bn

Capex

- Capital expenditure for the new facility is projected at Rs800mn, funded by internal accruals and reduced working capital
- The company chose to divest a business requiring full investment in plant, machinery, and growth capital to a strategic investor due to capex contingencies
- Backward integration programs use existing vendor surplus capacity, avoiding additional capex for new product capacity

- Capex is expected to be balanced through internal accruals, with a maximum net debt of Rs6bn
- Total capex remains Rs800mn for both factories, with no additional capex planned for Vashivali

Outlook

- Expects over 12% growth in FY '25 due to favorable global demand
- Expect annual growth of 10-12% in the Global Ingredient business
- Strong double-digit growth is expected in H1FY25, driven by progress with a Global MNC account
- Capex for new facility is projected at Rs800mn, funded by internal accruals and reduced working capital
- EBITDA margin of over 17-18% is expected going forward
- Capex will be balanced through internal accruals, with insurance recoveries expected this quarter

Snippets from presentation

Key developments

- The company achieved 11.3% revenue growth in Q1FY25, excluding NuTaste, with the Fragrance division growing 7.0% YoY despite a fire at the Vashivali facility
- Gross margin increased by 359 bps to 47.4% and EBITDA margin rose by 100 bps to 17.7%
- EBITDA improved by 18.0%, reaching Rs833mn in Q1FY25
- Plans are underway to re-establish the Vashivali fragrance facility, expected to complete in 9-12 months
- Existing facilities are operating 2-3 shifts to handle orders and backlog, while the Indonesia facility is ramping up for ASEAN and export orders
- An exceptional loss of Rs1.2bn due to the fire is anticipated to be fully offset by insurance reimbursement
- The company expects strong demand in Q2, with momentum from existing and new accounts, aiming for over 12% growth in FY25 and faster profitability growth
- Incorporated Keva Germany GmbH to serve as a Creative Development Centre (CDC) for European operations, while also providing support to customers in Dubai and Middle East
- The company's net debt increased to ~Rs5.42bn as on 30th June 2024 as compared to Rs5.04bn as on 31st March 2024

Update on the Fire Incident at the Company's Fragrance facility located Vashivali

- A fire at the Vashivali facility in April 2024 caused no loss of life, with safety measures in place
- The company has comprehensive insurance coverage, including loss of profit
- Production has been shifted to alternate sites, and the new facility is expected to be re-established in 9-12 months
- All facilities are operating in double/triple shifts to meet current and future demand
- The recently commissioned Indonesia facility is ramping up to serve local and export markets
- An exceptional loss of Rs1.2bn due to the fire is expected to be fully offset by insurance reimbursement in FY25E
- The company has requested an interim payment of Rs500mn from the insurance company, which is processing the claim

Fragrance

- Q1 Revenue breakup – India (59%), Europe (28%), ROW (14%)

- Q1 Revenue growth – India (- 0.3%), Europe (6.0%), ROW (63%)

Flavour

- Q1 Revenue breakup – India (62%), ROW (38%)
- Q1 Revenue growth – India (72%), ROW (38%)

Europe Core Business

- Core business in Europe delivered 10% revenue growth on a like-for-like basis
- Growth of both Creative Flavors and Fragrances (CFF) and Holland Aromatics was aided by the recovering business environment
- Company registered steady profitability in its core European operations, with gross margins of 57.1% and EBITDA margins of 18.6%

Global ingredients

- Q1 Revenue – Rs190mn vs Rs130mn (up41% YoY)
- Global Ingredients achieved strong revenue performance for the period under review
- Over the past fiscal year, the Company has concentrated on enhancing productivity, minimizing losses, and executing backward integration initiatives
- These efforts have proven effective, leading to an improvement in profitability

Exhibit 1: SH Kelkar – Quarterly review (Cons.)

Y/E March (Rs mn)	Q1FY25	Q1FY24	YoY (%)	Q4FY24	QoQ (%)	FY24	FY23	% chg.
Net sales	**4,703**	**4,226**	**11.3**	**5,331**	**(11.8)**	**19,071**	**16,865**	**13.1**
Cost of Goods	2,463	2,365	4.2	2,985	(17.5)	10,674	10,047	6.2
% of sales	52.4	56.0		56.0		56.0	59.6	
Employee benefit expenses	672	573	17.2	660	1.9	2,486	2,118	17.4
% of sales	14.3	13.6		12.4		13.0	12.6	
Other expenditure	785	608	29.1	807	(2.6)	2,867	2,527	13.5
% of sales	16.7	14.4		15.1		15.0	15.0	
Operating profit	**783**	**680**	**15.2**	**880**	**(11.1)**	**3,044**	**2,173**	**40.1**
OPM (%)	16.6	16.1		16.5		16.0	12.9	
Dep. and amor.	225	209	7.9	227	(0.8)	885	805	10.0
EBIT	**558**	**471**	**18.4**	**653**	**(14.6)**	**2,159**	**1,369**	**57.7**
Interest	99	98	0.7	103	(4.2)	409	239	71.2
Other income	7	5	27.5	15	(57.0)	60	118	(48.9)
Excp. Item	(1,199)	0		0		0	(203)	-
PBT	**(733)**	**378**	**-**	**565**	**-**	**1,810**	**1,045**	**73.2**
Provision for tax	124	111	12.1	231	(46.3)	586	414	41.4
eff. tax rate	(16.9)	29.3		40.9		32.3	39.6	
PAT	**(858)**	**267**	**-**	**334**	**-**	**1,224**	**631**	**94.0**
Minority Interest	(2)	8	-	(3)	(14.3)	13	18	(28.7)
Share of Profit/(Loss) from Asso.	0	0		0		0	(2)	-
PAT (rep.)	**(855)**	**260**	-	**337**	-	**1,212**	**612**	98.1
NPM (%)	(18.2)	6.3		6.3		6.4	3.7	
EPS (Rs)	**(6.2)**	**1.9**	**-**	**2.4**	**-**	**8.8**	**4.4**	**98.1**
Segmental revenue (Rs mn)	**Q1FY25**	**Q1FY24**	**YoY (%)**	**Q4FY24**	**QoQ (%)**	**FY24**	**FY23**	**% chg.**
Fragrance	4,264	3,940	8.2	4,570	(6.7)	16,874	14,633	15.3
Flavours	415	493	(15.9)	741	(44.0)	2,344	2,136	9.7
Other operating income	24	22	13.5	20	23.9	83	96	(14.2)
Total	**4,703**	**4,455**	**5.6**	**5,331**	**(11.8)**	**19,300**	**16,865**	**14.4**
EBIT								
Fragrance	(630)	498	-	621	-	2,199	1,404	56.7
% EBIT	(14.8)	12.6		13.6		13.0	9.6	
Flavours	81	39	105.1	105	(23.4)	214	129	65.5
% EBIT	19.4	8.0		14.2		9.1	6.0	
Total EBIT	**(549)**	**537**	**-**	**726**	**-**	**2,413**	**1,533**	**57.4**
% EBIT	(11.7)	12.1		13.6		12.5	9.1	

Source:

P&L

YE Mar (Rs mn)	FY20A	FY21A	FY22A	FY23A	FY24A
Revenues	**11,051**	**12,600**	**15,596**	**16,769**	**19,217**
Operating Expense	6,310	7,504	9,255	10,047	10,805
Employee cost	1,377	1,500	1,988	2,118	2,516
Others	1,874	1,857	2,253	2,527	2,911
EBITDA	**1,582**	**2,359**	**2,146**	**2,173**	**3,068**
Depreciation & Amortisation	515	615	718	805	893
EBIT	**1,067**	**1,744**	**1,429**	**1,369**	**2,175**
Interest expenses	(247)	(171)	(162)	(239)	(413)
Other income	78	235	175	118	60
PBT	**898**	**1,808**	**1,442**	**1,248**	**1,823**
Taxes	186	495	(172)	414	588
Effective tax rate (%)	20.7	27.4	11.9	33.2	32.2
PAT	**712**	**1,312**	**1,614**	**834**	**1,236**
Minority/Associates	10	10	(8)	(19)	(11)
Recurring PAT	**722**	**1,322**	**1,605**	**814**	**1,224**
Extraordinary items	(365)	125	(120)	(203)	0
Reported PAT	**357**	**1,447**	**1,486**	**612**	**1,224**

Ratios

YE Mar	FY20A	FY21A	FY22A	FY23A	FY24A
Growth (%)					
Revenue	6.1	14.0	23.8	7.5	14.6
EBITDA	15.8	49.1	(9.0)	1.3	41.2
Adj. EPS	(16.6)	83.2	24.0	(49.3)	50.3
Margins (%)					
Gross	43.7	45.4	41.0	40.7	44.2
EBITDA	14.2	17.8	13.7	12.9	15.9
EBIT	9.6	13.2	9.1	8.1	11.3
Adjusted PAT	6.5	10.0	9.5	3.6	6.3
Returns (%)					
ROE	8.6	14.9	16.3	7.8	10.8
ROCE	7.6	10.8	8.7	5.7	8.4
ROIC	7.3	10.1	8.1	5.3	8.3
Turnover (days)					
Gross block turnover ratio (x)	2.3	2.4	2.6	2.8	2.9
Debtors	99	96	98	97	88
Inventory	206	186	194	210	213
Creditors	89	102	118	130	122
Net working capital	172	190	186	165	169
Solvency (x)					
Net debt-equity	0.3	0.4	0.5	0.5	0.5
Interest coverage ratio	(6.4)	(13.8)	(13.3)	(9.1)	(7.4)
Net debt/EBITDA	1.8	1.6	2.7	2.5	1.8
Per share (Rs)					
Adjusted EPS	2.5	10.2	10.7	4.4	8.8
BVPS	58.3	67.3	73.2	76.9	87.6
CEPS	6.2	14.6	15.9	10.2	15.3
DPS	1.0	1.0	0.8	0.7	2.0
Dividend payout (%)	37.6	9.8	7.1	17.0	22.6
Valuation (x)					
P/E	50.4	27.5	22.2	43.8	29.1
P/BV	4.4	3.8	3.5	3.3	2.9
EV/EBITDA	24.3	16.7	19.3	18.9	13.5
Dividend yield (%)	0.4	0.4	0.3	0.3	0.8

Source: Company, Centrum Broking

Balance sheet

YE Mar (Rs mn)	FY20A	FY21A	FY22A	FY23A	FY24A
Equity share capital	1,413	1,413	1,384	1,384	1,384
Reserves & surplus	6,827	8,103	8,749	9,260	10,744
Shareholders fund	8,240	9,516	10,133	10,644	12,128
Minority Interest	106	30	804	383	14
Total debt	3,425	5,177	6,980	6,200	6,658
Non Current Liabilities	19	22	190	18	20
Def tax liab. (net)	236	362	486	507	474
Total liabilities	**12,025**	**15,106**	**18,593**	**17,750**	**19,293**
Gross block	4,736	5,280	6,045	5,900	6,668
Less: acc. Depreciation	(1,004)	(1,447)	(1,991)	(2,034)	(2,481)
Net block	3,733	3,833	4,055	3,866	4,187
Capital WIP	28	79	40	222	70
Net fixed assets	4,769	7,563	9,554	9,397	9,455
Non Current Assets	2,048	982	1,094	758	938
Investments	0	0	0	0	0
Inventories	3,370	4,294	5,554	6,031	6,569
Sundry debtors	3,174	3,745	4,613	4,382	4,896
Cash & Cash Equivalents	656	1,392	1,225	672	1,031
Loans & advances	66	83	55	59	35
Other current assets	818	922	875	921	1,101
Trade payables	1,731	2,473	3,520	3,651	3,551
Other current liab.	1,035	1,268	710	654	989
Provisions	108	134	148	165	191
Net current assets	5,209	6,562	7,945	7,595	8,900
Total assets	**12,025**	**15,106**	**18,593**	**17,750**	**19,293**

Cashflow

YE Mar (Rs mn)	FY20A	FY21A	FY22A	FY23A	FY24A
Profit Before Tax	533	1,933	1,322	1,045	1,823
Depreciation & Amortisation	515	615	718	805	893
Net Interest	247	171	162	239	413
Net Change – WC	890	474	(1,538)	(342)	(977)
Direct taxes	(186)	(495)	172	(414)	(588)
Net cash from operations	**2,285**	**2,337**	**780**	**1,417**	**1,504**
Capital expenditure	500	(1,471)	(1,815)	(196)	(805)
Acquisitions, net	0	0	0	0	0
Investments	15	0	0	(230)	134
Others	78	235	175	118	60
Net cash from investing	**593**	**(1,236)**	**(1,640)**	**(308)**	**(611)**
FCF	**2,878**	**1,101**	**(860)**	**1,109**	**894**
Issue of share capital	(33)	0	(29)	0	0
Increase/(decrease) in debt	85	1,752	1,803	(781)	458
Dividend paid	(162)	(141)	(106)	(104)	(277)
Interest paid	(247)	(171)	(162)	(239)	(413)
Others	(2,305)	(1,832)	(846)	(575)	(334)
Net cash from financing	**(2,662)**	**(392)**	**660**	**(1,699)**	**(565)**
Net change in Cash	217	710	(199)	(590)	328

Source: Company, Centrum Broking

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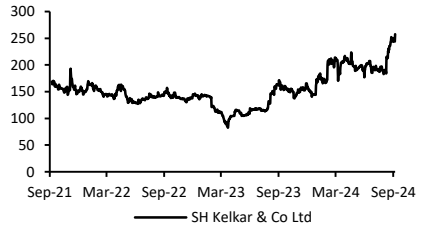
S H Kelkar & Co Ltd



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